

Subject Description Form

Subject Code	AF3507
Subject Title	Company Law
Credit Value	3
Level	3
Normal Duration	1-semester
Pre-requisite	Introduction to Business Law (AF2504) or Business Law (AF3513)
Objectives	The role of the company law course is to provide business students with the necessary knowledge, abilities and skills in relation to the law governing companies in Hong Kong. The course is of value to future business graduates who, in a corporate context, will need to understand the legal and compliance risks of their entrepreneurial activity and eventually deal with legal problems. The course aligns with the BBA programme's generic learning outcomes 1 (effective communicator), 3 (critical thinker), 5 (ethical leader; innovative problem solver), 8 (competent professional), 11 (analyze ethical issues and understand self and organizational responsibilities to society, own nation, and the world). Those outcomes are reflected in the intended learning outcomes of this course.
Subject Learning Outcomes BBA Outcomes 1, 3,5,8 and 11	Upon completion of the course, students will be able to: a) Describe and explain the rights and duties under Hong Kong company law of companies, company officers, shareholders, and other relevant stakeholders. b) Prepare and analyze financial reports for organizations from a legal perspective. c) Apply Hong Kong company law to legal and ethical issues or problems typically arising as a result of company operations. d) Communicate in written and oral English the meaning of HK company law rules and the reasoning of courts and use this ability to participate actively in diverse settings. e) Conduct elementary research on legal and financial theories to support their own understanding and analysis of operations of financial markets under Hong Kong company law regime. f) Demonstrate an understanding on entrepreneurship and innovation as the essential ingredients in the setting up of companies in Hong Kong. g) Critically analyze Hong Kong company law, its effects and what improvements might be necessary.
Subject Synopsis/ Indicative Syllabus	Formation of a Company The process of formation and the documentation required; the legal nature of corporation and the doctrine of separate legal entity; the significance of the memorandum and articles of association; overseas companies regulation in Hong Kong. Share and Loan Capital Types of share capital and methods of raising and re-organising share capital including prospectuses and the legal responsibilities of promoters; debt financing from a corporation's perspective; company debentures and registration. Company Directors and Officers Appointment and removal of directors and company secretary; powers and duties of directors and company secretary; disclosure requirements. Company Control and Procedures Types of company's meetings and their significance; the role and function of auditors and inspectors; the protection of minority members.

	External Regulation of Companies Insider dealing provisions; audit requirements; the role of the Stock Exchange; powers and functions of the Securities and Futures Commission and Market Misconduct Tribunal; powers and duties of the Financial Secretary. Winding Up of Companies Compulsory & voluntary winding up; appointment of liquidators; winding up procedures.																																																																													
Teaching/Learning Methodology	Legal principles and concepts will be introduced through lectures. In seminars, students will gain a better understanding of key legal principles, and apply them to various issues and scenarios involving companies and their directors, shareholders and other stakeholders, and/or to think about those principles in a critical manner. By writing an answer to an essay question in a one - hour midterm test, on a selected topic of company law, the students will be able to acquire essential application, analytical skills and elementary research skills. This teaching and learning methodology will provide the students with valuable insights and a deeper understanding of key topics within the field of company law. In seminars, the students will be required to describe concepts and answer questions either by oral presentations or by writing exercises. To this purpose, seminars may include a variety of tasks including problem and essay questions. Problem questions in seminars align with the intended learning outcomes (ILOs) (a), (c) and (d) by enabling students to develop the ability to identify, explain and apply legal rules to resolve business problems, issues and/or challenges. Multiple Choice Questions (MCQs) and Quizzes which are in line with ILOs (a), (b), (c) and (d) will enable students to acquired good knowledge, clear understanding and accurate application of the relevant legal concepts and principles of law. Mid-term test essay questions reflect ILOs (a), (d), (e) and (g) as students develop the ability to identify, explain and analyze critically key issues of HK company law, its reform and policy effects. Students will also be required to participate actively in seminars, in line with ILOs (c), (d) and (f), by raising relevant questions, making comments or critiques, advancing explanations, or stating arguments. Writing an essay answer during the mid-term test aligns with ILOs (c), (d), (e), (f) and (g). This activity allows the students to learn how to write and develop concepts and arguments in a logical, analytical and critical manner, and how to use basic research tools including internet, library and other resources to this effect.																																																																													
Assessment Methods in Alignment with Subject Intended Learning Outcomes	<table border="1"> <thead> <tr> <th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="7">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr> <tr> <th>a</th><th>b</th><th>c</th><th>d</th><th>e</th><th>f</th><th>g</th></tr> </thead> <tbody> <tr> <td>1. Continuous Assessment</td><td>50%</td><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>(a) In-Class Group Exercises</td><td>20%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td>√</td><td></td></tr> <tr> <td>(b) Class Participation</td><td>10%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td><td>√</td></tr> <tr> <td>(c) Mid-Term Test</td><td>20%</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td></tr> <tr> <td>2. Final Examination</td><td>50 %</td><td colspan="7"></td></tr> <tr> <td>Total</td><td>100%</td><td colspan="7"></td></tr> </tbody> </table> To pass this subject, students are required to obtain Grade D or above in both of the Continuous Assessment and Examination components.								Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)							a	b	c	d	e	f	g	1. Continuous Assessment	50%								(a) In-Class Group Exercises	20%	√	√	√	√		√		(b) Class Participation	10%	√	√	√	√			√	(c) Mid-Term Test	20%	√	√	√	√	√	√	√	2. Final Examination	50 %								Total	100%							
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Student Study Effort Required	Class contact:	
	▪ Lectures	13 Hrs.
	▪ Seminars	26 Hrs.
	Other student study effort:	
	▪ Off-class preparation for seminars	26 Hrs.
	▪ Reading textbook and related materials	52 Hrs.
	Total student study effort	117 Hrs.
Reading List and References	<i>Course Textbook</i> Vanessa Stott, Hong Kong Company Law (15th ed), Pearson, 2020. (available for consultation at the PolyU's library and for purchase at the PolyU's bookstore) Course handouts and other course materials Companies Registry: <http://www.cr.gov.hk> <i>References</i> Stefan HC Lo and Charles Z Qu, <i>Law of Companies in Hong Kong</i>, Fourth Edition, 2023 Sweet and Maxwell, (available for consultation in PolyU's Library) Susan Kwan, <i>Company Law in Hong Kong: Practice and Procedure</i> 2020, Sweet and Maxwell, 2019 (available for consultation in PolyU's Library) Students can consult a copy of the <u>Companies Ordinance (Cap.622)</u> from the PolyU's library or online at the BLIS website. Securities and Futures Ordinance (SFO), Chapter 571 of the Laws of Hong Kong Butterworths Hong Kong Company Law Handbook: Companies Ordinance (Cap 622) Lo, Stefan H.C., Tyler, E.L.G.; Tomasic Roman, 17th Edition, 2015 Lexis Nexis, Hong Kong. Cheng Po Wah, <i>The Hong Kong Company Secretary's Handbook: Practice and Procedure</i>, 11th Edition, 2021 Pearson, Hong Kong Sealey, L.S., <i>Cases and Materials in Company Law</i>, Butterworths, 9th Edition, 2010 Oxford University Press. Hicks, A., & Goo, S.H., <i>Cases and Materials on Company Law</i>, 9th Edition, 2011 Oxford University Press	